

Contestant Number: _____

Time: _____

Rank: _____



ADVANCED ACCOUNTING (110) STATE – 2020

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (22 @ 2 points each) _____ (44 points)

Job 1: Horizontal Analysis (54 @ 1 point each) _____ (54 points)

Job 2: Financial Ratios (13 @ 3 points each) _____ (39 points)

TOTAL POINTS _____ ***(197 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round calculations at the final step to two decimals.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Directions: Read each question carefully and place the answer that best matches the question or statement on the Scantron sheet or directly on the test copy.

1. Which of the following is a benefit of selling on credit?
 - a. Revenues are increased by making sales to a wider range of customers.
 - b. Cash is received sooner.
 - c. Expenses are reduced by making the sales easier.
 - d. Some customers do not pay, creating an expense.
2. Which method of depreciation always produces the most depreciation in the first year?
 - a. sum-of-years' digits
 - b. double-declining balance
 - c. straight-line
 - d. all produce the same
3. If a customer is given a price reduction on a slightly damaged item, which of the following accounts will be debited?
 - a. Sales
 - b. Sales Returns & Allowances
 - c. Purchases
 - d. Purchases Returns and Allowances
4. The Golden Goddess Company purchased a new piece of spa equipment for \$96,000 on January 18. The company estimated that the spa equipment will last for 6 years, complete 54,000 spa treatments, and have a salvage value of \$4,000. Calculate the depreciation using units-of-production for the first year in which the company performed 8,800 spa treatments using the equipment.
 - a. \$14,055.55
 - b. \$14,960.00
 - c. \$15,333.33
 - d. \$16,000.00
5. The statement that shows changes from operating, financial, and investing activities is the
 - a. Balance Sheet.
 - b. Income Statement.
 - c. Statement of Cash Flows.
 - d. Statement of Stockholders' Equity.
6. Grumpy, Inc. has outstanding shares of \$100 par, 6% preferred stock. The dividends per share for the year would be
 - a. \$1.00.
 - b. \$1.50.
 - c. \$3.00.
 - d. \$6.00.

7. Obtaining capital by borrowing money for a period of time is called
 - a. debt financing.
 - b. equity financing.
 - c. establishing a line of credit.
 - d. issuing a promissory note.
8. If uncollectible accounts are \$4,800 for the fiscal period, the adjusting entry using the allowance method would be a
 - a. debit to Allowance for Uncollectible Accounts and a credit to Uncollectible Accounts Expense.
 - b. debit to Accounts Receivable and a credit to Cash.
 - c. a debit to Uncollectible Accounts Expense and a credit to Accounts Receivable.
 - d. a debit to Uncollectible Accounts Expense and a credit to Allowance for Uncollectible Accounts.
9. Game, Inc. buys its own stock on NASDAQ. What account is debited?
 - a. Cash
 - b. Capital Stock--Common
 - c. Capital Stock--Preferred
 - d. Treasury Stock
10. What type of account is Unearned Revenue and what is its normal balance?
 - a. Asset; Credit
 - b. Revenue; Credit
 - c. Liability; Credit
 - d. Expense; Debit
11. The primary purpose of the trial balance is to
 - a. disclose the complete effect of a transaction in one place.
 - b. prove the equality of the debit and credit amounts after posting.
 - c. transfer journal entries to the ledger accounts.
 - d. make sure a journal entry is not posted twice.
12. The balance of Allowance for Uncollectible Accounts shows a debit of \$180 before adjustments. The aging accounts receivable establishes a needed balance of \$2,980. What is the adjustment amount that will be credit to Allowance for Uncollectible Accounts?
 - a. \$ 180
 - b. \$2,800
 - c. \$2,980
 - d. \$3,160
13. After transaction information has been recorded in the journal, it is transferred to the
 - a. Trial Balance.
 - b. Income Statement.
 - c. General journal.
 - d. General and subsidiary ledgers.

14. Sales taxes collected by a retailer are reported as
 - a. current liabilities.
 - b. contingent liabilities.
 - c. revenues.
 - d. expenses.
15. Finding the percentage change from 2019 to 2020 for total assets on a Balance Sheet is an example of
 - a. vertical analysis.
 - b. horizontal analysis.
 - c. contingency analysis.
 - d. ratio analysis.
16. Total sales for the previous month were \$100,650. Sales discounts were \$3,300 and sales returns & allowances were \$4,250. Dallas is paid a 5 percent commission on net sales. Her commission for the previous month was
 - a. \$4,655.00.
 - b. \$4,820.00.
 - c. \$4,867.50.
 - d. \$5,032.50.
17. The Stallworth Company purchased a piece of equipment for \$428,000 with shipping cost of \$1,600. The equipment required a platform to be built at a cost of \$7,400 to be ready for use. What will be the recorded cost of the equipment?
 - a. \$428,000
 - b. \$429,600
 - c. \$435,400
 - d. \$437,000
18. What depreciation method has the percentages of depreciation determined by the Internal Revenue Service?
 - a. sum-of-the-year's disgit
 - b. double-declining balance
 - c. MACRS
 - d. straight-line
19. If \$10,300 is paid for a previous purchase on account of \$14,500 less a discount of \$4,200, the amount debited to Accounts Payable is
 - a. \$ 4,200.
 - b. \$10,300.
 - c. \$14,500.
 - d. \$18,700.

20. Depreciation is no longer recorded on an asset when the book value equals
 - a. replacement cost.
 - b. salvage value.
 - c. original cost.
 - d. market value.
21. A ratio that shows the relationship of quick assets to current liabilities is the
 - a. current ratio.
 - b. acid test ratio.
 - c. working capital ratio.
 - d. cash ratio.
22. What advantages do preferred stockholders have over common stockholders?
 - a. voting rights
 - b. company management
 - c. greater return on investment
 - d. first right to dividends
23. Bonds that may be exchanged for common stock at the option of the bondholders are called
 - a. options.
 - b. stock bonds.
 - c. convertible bonds.
 - d. callable bonds.
24. The term double taxation as applied to a corporation means
 - a. corporations pay income tax twice a year.
 - b. corporations must pay approximately twice the amount of tax as individuals.
 - c. the earnings of a corporation are taxed twice; at the corporate level as well as employees paying tax on their income.
 - d. the earnings of a corporation are taxed twice; at the corporate level as well as stockholders paying tax on dividends.
25. When the FIFO method is used, cost of merchandise sold is valued at
 - a. the most recent price.
 - b. the earliest price.
 - c. the lowest price.
 - d. the average price.
26. The method of depreciation that would result in the lowest book value after year one is
 - a. straight-line.
 - b. double-declining balance.
 - c. sum-of-the-year's digits.
 - d. none of the above

27. A 90-day note dated May 9 was turned over to the bank for discounting on May 24. The number of days used in computing the dollar amount of the discount is
 - a. 15 days.
 - b. 66 days.
 - c. 75 days.
 - d. 81 days.

28. A 90-day note dated January 15 during a leap year will come due on what date?
 - a. April 13
 - b. April 14
 - c. April 16
 - d. April 17

29. If no other method of dividing net income or net losses is specified in the partnership agreement, it is divided
 - a. in relation to the partners' capital account balances.
 - b. in relation to the amount of time each partner devotes to the business.
 - c. in relation to the original investment by each partner.
 - d. equally.

30. On December 1, Lucky, Inc. accepted a \$2,800, 8 percent, 90-day note receivable from a charge customer. The note will not mature until March 1, but interest income has accrued. How much interest will be reported for this note when the adjusting entry is made on December 31?
 - a. \$18.67
 - b. \$19.29
 - c. \$37.33
 - d. \$56.00

SHORT ANSWER

1. Assume that adjusting and closing entries have been journalized and posted for a corporation except for the final closing entry. The Retained Earnings account has a balance of \$423,700 and Dividends account has a balance of \$76,200?

What is the dollar amount of the final closing entry? 1a. _____

What account would be debited for the final closing entry? 1b. _____

What account would be credited for the final closing entry? 1c. _____

2. The following data was taken from Apollo, Inc.'s periodic inventory for 2020.

Beginning Inventory, Jan. 1	800	@	\$22 each
Purchased on March 18	1,000	@	\$24 each
Purchased on June 14	900	@	\$25 each
Purchased on September	800	@	\$27 each
Ending Inventory, 1,200 units			

What is the cost of ending inventory using FIFO? 2a. _____

What is the cost of ending inventory using LIFO? 2b. _____

What is the cost of ending inventory using weighted-average? 2c. _____
(round unit cost to two decimal places)

Which inventory method will result in the lowest gross profit? 2d. _____

3. A Boeing jet costs \$54,000,000 and is expected to fly 410,000,000 miles during its 7-year life. Salvage value is \$20,000. The plane travels 48,000,000 miles the first year. The company uses the units-of-production method for depreciation. (round the depreciation rate to two decimal places.)

What is the depreciation rate per mile? 3a. _____

What is the depreciation expense for the first year? 3b. _____

What is the book value of the plane after the first year? 3c. _____

4. A partnership's net income of \$48,000 is to be divided between two partners, Haywood and Kojo, according to the following arrangement: Salary allowances of \$26,600 for Haywood and \$13,900 for Kojo, with the remainder divided 60% for Haywood and 40% for Kojo. By what dollar amount will Haywood and Kojo's capital be increased?

Haywood _____

Kojo _____

5. On August 15, Catherine's Chocolates accepted a 9%, 90-day note for \$8,430 from Vanilla Bunny, a long-time customer. On September 18, Catherine's Chocolates discounted the note at 10.1% to obtain cash.

How many days are in the discount period? 5a. _____

How much is the bank discount? 5b. _____

How much will Catherine's Chocolates receive from the bank? 5c. _____

6. L & M Corporation has a net profit for 2020 of \$89,730. The beginning Capital Stock balance was 75,000 shares outstanding of \$8.00 par value. No shares were issued during the year. The beginning Retained Earnings balance was \$193,900. During the year, L & M Corporation declared a dividend of \$1.20 per share. Find the following balances that will be shown on the December 31, 2020 Statement of Stockholders' Equity.

Capital Stock	6a. _____
Retained Earnings	6b. _____
Total Stockholders' equity	6c. _____

7. Bennie's Department Store occupies an area of 32,000 square feet. Bennie's annual rent is \$56,000. There are four departments at Bennie's that constitute the entire square footage: Men's, 10,000 sq. ft.; Women's, 15,000 sq. ft.; Shoe's, 4,500 sq. ft.; and Accessories, 2,500 sq. ft. Allocate the rent expense to each department based on the square footage.

What is the rent expense allocation for Men's?	7a. _____
What is the rent expense allocation for Women's?	7b. _____
What is the rent expense allocation for Shoe's?	7c. _____
What is the rent expense allocation for Accessories?	7d. _____

JOB 1— HORIZONTAL ANALYSIS OF A BALANCE SHEET

Complete the sections of the comparative balance sheet, perform a horizontal analysis, and calculate the requested ratios below the statement. Round percentages to one decimal place.

ARCHER'S SPORTS						
Comparative Balance Sheet						
For Years Ended December 31, 2019 and 2020						
					Increase /Decrease	
			Current Year-2020	Previous Year-2019	Dollars	Percent
ASSETS						
Cash			25,200	22,100		
Accounts Receivable			20,400	16,200		
Merchandise Inventory			162,300	168,900		
Supplies			2,800	2,500		
Prepaid Insurance			2,300	1,000		
Delivery Equipment			38,800	24,400		
Office Equipment			18,800	10,800		
Store Equipment			10,200	6,500		
Total Assets						
LIABILITIES						
Accounts Payable			26,800	44,400		
Federal Corporate Inc. Tax Payable			310	280		
Employees' Federal Inc. Tax Payable			1,280	1,210		
Employees' State Inc. Tax Payable			160	140		
Social Security Tax Payable			500	450		
Medicare Tax Payable			120	110		
Federal Unemployment Tax Payable			50	40		
State Unemployment Tax Payable			230	200		
Sales Tax Payable			4,420	6,160		
Total Liabilities						
STOCKHOLDERS' EQUITY						
Capital Stock			100,000	100,000		
Retained Earnings			146,930	99,410		
Total Stockholders' Equity			\$	\$		
Total Liabilities & Stockholders' Equity			\$	\$		

JOB 2—CALCULATING RATIOS

Directions: Using the information from the Balance Sheet in Job 1 and the information below, calculate the financial ratios for 2019 and 2020.

Net Income 2019 \$22,320

Net Income 2020 \$25,100

	2020	2019
Working Capital		
Current Ratio		
Quick Ratio		
Debt Ratio		
Debt to Equity Ratio		
Return on Assets		
Return on Equity		